



“THERE IS GROWING CONFIDENCE ON INDIA”

RBI Governor Shaktikanta Das on inflation, the consumer lending space, and why he is confident about India's growth

BY SIDDHARTH ZARABI

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SHAKTIKANTA DAS, Governor of the Reserve Bank of India, took charge of the central bank in December 2018. Since then, he has guided RBI with a steady hand during major disruptions such as the pandemic, global geopolitical tensions and economic pessimism, and also brought inflation under control, among other things. The RBI Governor, in an exclusive interaction with *Business Today TV* on the sidelines of the recent annual World Economic Forum meeting in Davos, talks about the mood of the global economy, inflation, economic resilience, the India growth story, and more. Edited excerpts:



Last year, the mood around the global economy and the pessimism that existed among

CEOs was quite a bit. How is the mood as far as the global economy is concerned? What's your reading of the situation, particularly the supply-side bottlenecks that caused an inflationary spiral across the world?

At the moment, the mood all around the world is a lot better. When Covid-19 started, and more so when the Ukraine war started, followed by the spike in inflation, there was widespread apprehension that the world economy as a whole is moving towards recession.

In the past, we have seen that whenever advanced economies resorted to monetary policy tightening to tackle the problem of high inflation, those cycles usually ended in a recession. This time around,

not unnaturally, there were apprehensions that advanced economies and emerging market economies will enter into a zone of recession... but that has not happened. That has not happened because I think this time around, the inherent resilience of individual economies—both advanced economies and emerging market economies—has withstood the pressures much better. Therefore, recession has not happened... but nonetheless growth has slowed down. While there is confidence and optimism that recession has not happened, there is also the other realisation that global growth has slowed down.

I would say the mood is much better than last year because from an apprehensive mood of a recession or a hard landing,

now the mood [globally] is expectation of a soft landing but remaining in a territory of low growth.

Coming to inflation which had spiked in 2022 almost everywhere, it has moderated. That is a matter of satisfaction for every central bank, for every country, but at the same time, individual countries are yet to reach their target rates... it's the last mile that is proving to be challenging. So, the mood is much better, but at the same time there is a mood of cautiousness about how the future will play out, more so in the background of continuing geopolitical tensions.

So far as India is concerned it is a different story. I think India has responded to the recent challenges a lot better than it had done in the past... The last four years have been a period of great volatility, [but] India has responded far better. Our inflation has moderated... it is within the target zone... we're moving towards 4%; GDP growth has revived... [for] three successive years, including this year, [we've had] real GDP growth of 7% or above; for 2024-25, too, our expectation is that the GDP growth will be about 7%. Therefore, the India story is definitely a story of greater resilience compared to the rest of the world.



Do you see geopolitical